

The Allocation of Resources in a Market Economy

▼ How are resources allocated in a market economy?

In a market economy the key economic questions are answered by the price mechanism. When buyers and sellers interact for trade, they settle upon a price. This price depends on the relative strength of the demand and supply in the market.

Buyers create market demand by signalling their tastes and preferences to producers who create supply in response to the demands signalled by the consumers. When the market price for a product is high, producers will be willing to produce more than if the price is lower because they can maximise profits on a higher price.

The price where demand equals supply is called the clearance or equilibrium price. At this price the level of consumers' demand equals the producers willingness to supply.

At prices above the clearance price there will be a surplus or excess supply. Producers will need to reduce prices to clear the surplus. At prices below the clearance price there will be a shortage or excess demand. Prices will rise as consumers compete with each other for the limited available product.

▼ Is there a model that shows how markets operate?

Economists use a simple demand and supply model to show the behaviour of markets.

In the model the price of the product is shown on the Y axis and the quantity demanded and supplied is shown on the X axis.

Demand curve slopes down to the right because of the inverse relationship between price and quantity demanded. At higher prices less people will buy and at lower prices more people will buy.

Supply curve slopes upwards and right because of the positive relationship between price and quantity supplied. At higher prices it will be more profitable to produce the product and at lower prices profits lower so less is supplied

The equilibrium price is the price where the level of market demand equals market supply. The price therefore determines the allocation of resources needed to supply and the number of goods that will be purchased.

If there is a change in demand and/or a change in supply conditions a new price will be set by the market because, at the old price, the market is out of balance and in temporary disequilibrium.

In the diagram the rise in demand for the product has led to a shortage at price P_1 . The shortage encourages producers to increase prices and to allocate more resources to the production of the product. As the price rises some buyers will drop out of the market. This continues until market stability.

